

1-2b Assumptions

Financial accounting and generally accepted accounting principles are based upon the following assumptions:

- Monetary unit
- Time period
- Business entity
- Going concern

The

monetary unit assumption (An accounting assumption that requires that financial reports be expressed in a single monetary unit, or currency.)

requires that financial reports be expressed in a single money unit, or currency. This provides a common measurement of the effects of economic events and transactions on an entity. The monetary unit used is normally determined by the country in which the company operates. For example, in the United States, the U.S. dollar is used as the monetary unit.

The

time period assumption (An accounting assumption that allows a company to report its economic activities on a regular basis for a specific period of time.)

allows a company to report its economic activities on a regular basis for a specific period of time. In doing so, financial condition and changes in financial condition are reported periodically on a consistent basis. In the United States, reports are normally required on a yearly basis supplemented with quarterly reports.

Link to Twitter

Twitter publishes quarterly as well as yearly financial reports that are available at <https://investor.twitterinc.com>.

The annual accounting period adopted by a company is called its **fiscal year** (The annual accounting period adopted by a business.) . The fiscal year most commonly used is the calendar year beginning January 1 and ending December 31. However, other periods are not unusual, especially for companies organized as corporations. For example, a corporation may adopt a fiscal year that ends when business activities have reached the lowest point in its annual operating cycle, which allows more

time to prepare financial reports. Such a fiscal year is called the **natural business year** (A fiscal year that ends when business activities have reached the lowest point in an annual operating cycle.)

. For example, a company’s fiscal year could begin August 1, 20Y7, and end on July 31, 20Y8, as follows:



The **business entity assumption** (A concept of accounting that limits the economic data in the accounting system to data related directly to the activities of the business.)

limits the economic data in financial reports to that directly related to the activities of the business. In other words, the business is viewed as an entity separate from its owners, creditors, or other businesses. For example, the accountant for a business with one owner would record the activities of the business only and would not record the personal activities, property, or debts of the owner.

A business entity may take the form of a proprietorship, partnership, corporation, or limited liability company (LLC). Each of these forms and their major characteristics are listed in Exhibit 5.

Exhibit 5

Forms of Business Entities

Form of Business Entity	Characteristics and Advantages	Examples
 Proprietorship (A business owned by one individual.) is owned by one individual.	• 70% of business entities in the United States. • Easy and inexpensive to organize. • Resources are limited to those of the owner. • Used by small	• A & B Painting

Form of Business Entity	Characteristics and Advantages	Examples
	businesses.	
 Partnership (An unincorporated business form consisting of two or more persons conducting business as co-owners for profit.) is owned by two or more individuals.	• 10% of business organizations in the United States (combined with limited liability companies). • Combines the skills and resources of more than one person.	• Jones & Smith, Architects
 Corporation (A business organized under state or federal statutes as a separate legal entity.) is organized under state or federal statutes as a separate legal taxable entity.	• Generates 90% of business revenues. • 20% of the business organizations in the United States. • Ownership is divided into shares called stock. • Can obtain large amounts of resources by issuing stock. • Used by large businesses.	• Alphabet Inc. (GOOG) • Apple Inc. (AAPL) • Ford Motor Company (F)
 Limited liability company (LLC) (A business form consisting of one or more persons or entities filing an operating agreement with a state to conduct business with limited liability to the owners, yet treated as a partnership for tax purposes.) combines the	• 10% of business organizations in the United States (combined with partnerships). • Often used as an alternative to a partnership.	• Boston Basketball Partners, LLC

Form of Business Entity	Characteristics and Advantages	Examples
attributes of a partnership and a corporation.	Has tax and legal liability advantages for owners.	

The three types of businesses discussed earlier—service, retail, and manufacturing—may be organized as proprietorships, partnerships, corporations, or limited liability companies.

International Connection

IFRS International Financial Reporting Standards (IFRS)

IFRS are considered to be more “principles-based” than U.S. GAAP, which is considered to be more “rules-based.” For example, U.S. GAAP consists of approximately 17,000 pages, which include numerous industry-specific accounting rules. In contrast, IFRS allow more judgment in deciding how business transactions are recorded. Many believe that the strong regulatory and litigation environment in the United States is the cause for the more rules-based GAAP approach. Regardless, IFRS and GAAP share many common principles.

Because of the large amount of resources required to operate a manufacturing business, most manufacturers such as **Ford Motor Company (F)** are corporations. Most large retailers such as **Walmart (WMT)** and **The Home Depot (HD)** are also corporations. Companies organized as corporations often include Inc. as part of their name to indicate that they are incorporated. For example, Twitter’s legal name is **Twitter, Inc.**

Link to Twitter

Although **Twitter** is organized as a corporation in Delaware, its principal offices are in San Francisco.

The

going concern assumption (An assumption that requires that financial reports be prepared assuming that the entity will continue operating in the future.)

requires that financial reports be prepared assuming that the entity will continue operating into the future. This assumption justifies reporting items such as equipment, buildings, and land at their initial or historical cost rather than liquidation or forced sale values.

Pathways Challenge

This Is Accounting!

Economic Activity

Over 20 years ago, **Starbucks (SBUX)** and **Pepsi (PEP)** created a business called **The North American Coffee Partnership**. The business combined Starbucks' expertise in coffee with Pepsi's ability to manufacture, market, and sell ready-to-drink coffee products. Its first product, Frappuccino, took off and today the business dominates the ready-to-drink market with over \$2 billion in annual sales.

Critical Thinking/Judgment

Should the \$2 billion in annual sales be reported as part of Starbucks' annual report?

Should the \$2 billion in annual sales be reported as part of Pepsi's annual report?

Should the \$2 billion in annual sales be reported as part of a separate business's annual report?

Chapter 1: Introduction to Accounting and Business: 1-2b Assumptions

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